

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANTS,

v.

APS EAST COAST, INC.

RESPONDENT.

**RESPONDENT'S OPPOSITION TO THE MOTION OF
KAWASAKI KISEN KAISHA, LTD. AND MITSUI O.S.K. LINES, LTD.
FOR LEAVE TO FILE A BRIEF AMICUS CURIAE**

PUBLIC VERSION

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Respondent APS East Coast Inc (“APS” or “Respondent”) hereby opposes the motion by Kawasaki Kisen Kaisha, Ltd. (“K-Line”) and Mitsui O.S.K. Lines, Ltd. (“MOL”) (each a “movant”, collectively the “Movants”), leave to file an amicus curiae brief in Docket 23-04 (the “Motion”).

I. INTRODUCTION

A. Summary of Intervenor’s Motion

Movants request leave to file their untimely amicus brief without providing any cognizable the reason for its tardiness, without conferring with the relevant parties, and without filing the necessary notices to appear; on that basis alone the Motion may be, and should be, denied.

On the merits of the Motion, Movants seek leave to brief the Commission on an issue that is not properly before it and would improperly broaden the relevant issues. Their submission is largely a duplication of Complainants’ arguments seeking to do the same, on an issue in which Movants lack a direct interest. At its core, Movants’ motion seeks to bring K-Line’s separate commercial dispute with its stevedore before the Commission.

II. STANDARD OF REVIEW

Under 46 C.F.R. § 502.73(a), the brief of an amicus curiae may be filed only by leave of the Commission or the presiding officer granted on motion with notice to the parties and must be (1) limited to questions of law or policy. Further, a motion for leave to file an amicus brief must (2) identify the interest of the applicant and must (3) state the reasons why such a brief is

desirable. 46 C.F.R. § 502.73 (a) & (b). See also *Intermodal Motor Carriers Conference, American Trucking Ass'n, Inc., v. Ocema, et al.*, Dkt. No. 20-14, 2024 WL 2976558, at *3 (FMC, Jun. 5, 2024).

As to timing, except as otherwise permitted by the Commission or presiding officer, an amicus curiae must file its brief no later than 7 days after the initial brief of the party it supports is received at the Commission. The Commission or the presiding officer may grant leave for a later filing only for cause shown. 46 C.F.R. § 502.73(c). As previously noted by the Commission, “[e]xercising its discretion on a case-by-case basis, the Commission will utilize these representations to adjudge whether a movant has satisfactorily justified participation as an amicus curiae.” *Sea-land Service, Inc. - Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, Dkt. 98-06, 2003 WL 1959588, at *4 (FMC, Apr. 23, 2003).

III. ARGUMENT OPPOSING THE MOTION FOR LEAVE TO FILE A BRIEF AMICUS CURIAE

A. The Motion is Untimely with No Cause Shown

Other than an oblique comment that it was “obviously not possible” to file its amicus brief prior to the filing of exceptions, Movants do not address the untimely filing of its Motion. The regulations clearly set out that the timeline for filing its amicus is seven days after the initial brief of the party it seeks to support. Since Movants file in support of Complainants [Movant’s Motion at 4], and seven days after Complainants’ initial brief was publicly filed (June 11, 2024) was June 18, 2024, the Movants’ Motion is approximately nine months late.

The Initial Decision in this matter was served on December 16, 2024, with Complainants’ Exceptions to the Initial Decision publicly filed on February 7, 2025.

Movants argue that Complainants did not provide the full breadth of argument in their Exceptions with respect to the \$10 Access Fee, and that as a result, Movants contest, they should be permitted leave to file their proffered Amicus Brief. Even if the Rules did not require filing seven days after Complainants' initial brief – i.e. on or before June 18, 2024 – and instead permitted filing after Exceptions to the Initial Decision, filing in such a case would have been due on or about February 17, 2025. Despite the clear delay of approximately nine months, Movants do not provide any cognizable reason why they could not have filed their Motion and accompanying Brief in a timely manner.

As noted above, the Commission can extend the seven-day deadline “for cause shown.” 46 C.F.R. §502.73(c). Seeking an extraordinary extension of nine-months, Movants reference the Commission’s broad discretion in granting amicus curiae as outlined in *In Re: Vehicle Carrier Servs.*, but pointedly omit that the Commission only granted the untimely motion in that case because “[w]hile the Amici did not offer a justification for their delay in filing, the delay was minimal [one day late] and did not prejudice the Respondents’ ability to respond to the arguments asserted in the amicus motion.” FMC Dkt. Nos. 16-01, 16-07, 16-10, 16-11, 2018 WL 4191528, at *3, 1 F.M.C.2d 175, 177 (FMC, Aug. 30, 2018).

The amicus motion in that matter was received a single day past the due date and was docketed eight (8) days after receipt of the initial brief from the first filing party. The prejudice of the delay of a single day cannot be deemed analogous to that of a filing which is 265 days late. Yet Movants have offered no explanation for that 265 day untimeliness and fail to provide any plausible basis to analogize their situation with that of the movants in *In Re Vehicle Carriers Servs.*

To the extent that Movants' arguments center around the issue of a specific terminal charge and the relative benefits received by the payors, Movants were aware of the imposition on stevedores of an access fee to use the terminal facilities on or about November 1, 2022 [See CX_01359-1361; CX_01374-1379]. Movants have had an opportunity to raise their concerns and arguments at any point during the course of this proceeding. As evidenced by their inaction over the course of the past two years, the movants obviously chose not to weigh in on the matter.

Further, Movant MOL was certainly aware that its chosen stevedore would [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Movant K-Line was aware that its chosen stevedore would be passing on its fees as of June 28, 2024 and confirmed to SSA Marine that it was aware of the ongoing litigation regarding the \$10 access fee per its letter of September 9, 2024 [See Movant's Exhibit 1].

Accordingly, Movants were very much aware of the ongoing issues, the applicable arguments, and the resulting ramifications of the outcome and chose not to participate in the proceedings prior to their March 10, 2025 filing. Movants thus failed to timely file their Motion

for Leave, alongside several other procedural deficiencies,¹ and failed to provide any sufficient cause for the late-filing of their Motion.

B. Respondent Would be Prejudiced by the Granting of Movants' Motion

Respondents would be prejudiced by the granting of Movants' late Motion for Leave. The \$10 access fee is an issue the ALJ correctly ruled was not properly before him in the Initial Decision. Movants filed their Motion for Leave to File to file a Brief Amicus Curiae seven (7) days after Replies to Exceptions to the Initial Decision had been filed – which already included an additional month of time after the issuance of the Initial Decision - leaving Respondent without an opportunity to respond to the substance of Movants' arguments, such as they are. A granting of the motion would require Respondent to now defend an issue which was not raised in Complainants' Complaint, for which no discovery was conducted, for actions taken by third parties, all of which would broaden the scope of issues currently set to be determined by the Commission.

Specifically, Movants argument focuses on the \$10 access fee. However, Movants' alleged harm does not result from Respondent's fee itself, but rather, a charge assessed by Movants' stevedore. Thus, granting Movants' Motion for Leave would necessarily involve additional discovery and additional parties, which would need to be addressed for Respondent to properly defend itself in light of the additional issues presented. Such a development would certainly result in a delay of the proceedings which have been ongoing for almost two years now.

While Movants are unclear with regard to what portion of 46 C.F.R. § 525 they assert that Respondent has violated, or the manner in which its discussion of tariff vs. terminal schedule

¹ Counsel for Movants have not filed their Notice of Appearance (46 C.F.R. § 502.23) nor did they confer with counsel for Respondent regarding its Motion (46 C.F.R. § 502.71).

terminology would possibly be helpful or desirable to the Commission in this matter, to the extent Respondent would be required to defend its terminal schedule, the expansion of the applicable issues at this late stage would prejudice Respondent and would result in a further delay of the proceedings.

In addition to the prejudice of a delay of the proceeding, Respondent would necessarily be required to expend resources in connection with the expansion of issues that Movants seek, including the burden of additional discovery and litigation expenses, all in connection with an issue that was never raised in the Complaint in this matter.

Imposing such a burden would be all the more unreasonable considering the frivolity of the argument suggested by Movants, who assert that neither Movants nor their stevedores receive any service as a result of their use of the terminal [Movants Motion at 2] and remarkably assert that 46 C.F.R. § 525 does not contemplate an “access charge” [Movants’ Amicus Brief at 15]. Movants cite 46 C.F.R. § 525 (1)(a)(19) for this assertion, perhaps meaning 46 C.F.R. § 525.1(c)(19). That section of the regulations states that terminal services include “usage” and permits additional services and charges to be listed in terminal schedules. A stevedore’s use of Respondent’s terminal is hardly the smoke and mirrors service alleged by Movants and the only “free lunch” at issue here is the demand that stevedores have free access to the use of Respondent’s terminal and facilities for their own profit-making enterprise.

Accordingly, permitting Movants to submit their Brief at this very late stage would expand the issues to be decided by the Commission, cause this matter to be additionally delayed, and would result in prejudice to Respondent.

C. Movants' Stated Interest Confirms They Do Not Have a Direct Interest in the Access Fee

Movants state they have an interest in the proceedings as ocean carriers who subcontract out their stevedoring work. Since the \$10 access fee is charged to stevedores, the argument goes, it subsequently imposes “actual, ongoing and unreasonable burdens on vessel operators” and thus the \$10 access fee would result in lost revenue to both Movants.

However, it is not the access fee charged to stevedores by Respondent that would result in lost revenue to Movants, but rather the charge imposed by Movants' stevedores on its carrier line customers. Since the \$10 access fee is equally applied to all stevedores operating on Respondent's terminal, it is up to the stevedores and carrier lines to manage their own businesses. Movants' request for the Commission to consider the \$10 access fee in this context widens the scope of the issues and possibly impacted parties.

Movants assert in their Motion for Leave that the Initial Decision “recognizes that the carriers will be the ultimate payor,” however this assertion does not have support. To the extent that a comment in the Initial Decision identified carrier lines as the ultimate payors, that comment was in the context of Respondent's admittedly ambiguous terminal schedule language that Complainants Ports America Chesapeake and MTCE argued required carriers to pay the \$25 access fee. Respondent has excepted to that specific comment in the Initial Decision. [Doc. 50, Exception 6]

Movants also cite the Commission's rejection of the restrictive practices that burdened prior amicus movants as justification for their Motion. *Sea-land Service, Inc. - Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, Dkt. No. 98-06, 2003 WL 1959588, at *4-6 (FMC, Apr. 23, 2003). However, the Commission's consideration of

each of the four cited movants' interests in granting leave file their amicus briefs bears a more thoughtful, less glib analysis. *Id.*

The issue in *Sea-land Service* at that stage of the proceeding was the civil penalties ordered against Sea-Land for their violation of the Shipping Act. *Id.* at *1. The Commission noted that the four movants—the National Customs Brokers and Forwarders Association of America, the Transportation Intermediaries Association, the National Industrial Transportation League, and the NVOCC-Government Affairs Conference—represented within their respective motions the direct interest of their memberships in the gravity of the penalties assessed; penalties that could be demanded of their members who are subject to the Commission's jurisdiction. *Id.* at *4. Contrary to the four amici movants considered in *Sea-Land*, K-Line and MOL have failed to identify a direct interest in the current matter. The Movants' attached amici brief merely alleges that its subcontracted stevedores are attempting to pass through the access fee that is assessed to all stevedores that access Respondent's facility as an extra-contractual charge billed separately by the stevedore. [Movants' Motion at 2; Movants' Amicus Brief at 3].

Movants fail to allege a direct interest in Respondent's conduct and seek to ground their interest in this proceeding by implicating the conduct of their subcontractors - conduct that Respondent is not responsible to mitigate. Such an implication would unreasonably broaden the issues in this matter, and would do little to aid the Commission in its administration of the law in this case. Movants' interest begins and ends with the conduct of its own subcontractors. Movants have a myriad of solutions available to them, including encouraging the different stevedores to

compete for their business², using a different terminal, incorporating the assessed fee³, or bringing a separately filed complaint. Thus, Movants' interests are too attenuated to be considered necessary to the proceedings.

D. Movants' Brief is Not Desirable

Movants' Brief is not helpful ("desirable," in the regulatory language) to the Commission. Movants' motion identifies the points they would seek to make in their Brief, however their Motion fails to identify why their Amicus Brief would be helpful to the Commission. Though Movants assert their Amicus Brief is "crucial because exceptions were inadequate and did not state clearly and completely the law applicable to the \$10 'Access Fee,'" and that it "explores the issue of 'Access Fee' violation of the [Shipping] Act," Movants fail to draw out any reason their analysis would assist the Commission in its ruling on this issues before it in this case.

While Movant's failure to assert the desirability of its Amicus Brief should be sufficient for the Commission to deny the Motion, a review of Movants' Brief indicates that it is already duplicative, simply restating arguments already made by Complainants with respect to the \$10 access fee and asserting that the Commission must determine whether the charge imposed by a private terminal represents an appropriate value for the services rendered by the terminal to its users. [Movant's Amicus Brief at 3].

² Movants note in their Exhibit 1 that SSA Marine/Ceres charges K-Line a \$10 access fee as a pass-through charge. Neither MOL nor K-Line complain of charges from Complainants Ports America Chesapeake and/or MTCE. It is not clear based on Movant's Motion or Brief the extent to which the stevedoring companies rates differ or why the stevedoring companies cannot compete when the access fee is charged equally to all stevedoring companies.

³ Movants argue that the carrier lines will be the ones impacted by the fee, yet also acknowledge that the carriers will incorporate the fee into their rates [Movants' Amicus Brief at 4].

In addition to the duplicative nature of the Amicus Brief, the issue of the \$10 Access Fee was not properly raised in this proceeding. Complainants first raised the \$10 Access Fee issue in their initial brief as a new argument outside of the scope of the Complaint. Complainants raised the issue despite the fact that equally applicable terms for all stevedores was in fact the request of Complainants in their initial correspondence to Respondent [See CX_01381-1382]. However, given the timing of the implementation of the \$10 Access Fee, the parties did not perform discovery on this issue. Accordingly, the Initial Decision did not rule on the \$10 Access Fee because it was not properly raised, and even if it had been, the Initial Decision concluded that it would likely be found to be reasonable. [Initial Decision at 28-30]

With respect to the present Motion, Movants fail to offer “a different perspective or legal arguments” as required for a proposed brief of amici curiae to be accepted by the Commission. *Intermodal Motor Carriers Conference, Am. Trucking Ass’ns, Inc. v. Ocean Carrier Equip. Mgmt. Ass’n, Inc. et. al*, Dkt. No. 20-14, 2024 WL 2976558, at *3 (FMC, Jul. 5, 2024).

Movants’ arguments concerning the unreasonableness of the \$10 Access Fee are difficult to distinguish from Complainants’ Exceptions. Movants cite to the same legal authority and attempt to equate an offer of different legal perspectives with a redundant and immaterially lengthy account of the same authorities that Complainants reference. To the extent that Complainants may have failed to identify any relevant part of their cited case references, Movants, in their mimicry, fail to offer the Commission the alternative legal perspectives contemplated by the grant of an Amici Curiae.

Additionally, Movants’ amicus brief is undesirable from the Commission’s perspective as it attempts to elevate a commercial dispute between Movants and their subcontractors to questions of law under the Shipping Act suitable for the Commission’s review. Movants appear

to argue, as did Complainants in earlier filings, that whenever a fee is assessed by a privately-owned terminal, the terminal becomes subject to a complaint before the Commission and must submit its cost accounting to the Commission for review and a blessing of any return on its investment, even when the challenged charge does not come directly from the marine terminal, but those third parties subject to the terminal's lawful charges. The commercial dispute contemplated by the Movants' amicus brief cannot be equated with the proffering of an alternative legal perspective or argument.

Further, in a wide-reaching demand even more aggressive than that of Complainants themselves, Movants request the Commission to issue a permanent injunction on any charge from a marine terminal operator [Movants' Amicus Brief at 15] – i.e. a ruling that a terminal operator may not recover its costs for operating a marine terminal. Such a ludicrous outcome is certainly not the law under the Shipping Act, and Movants provide no authority for such an extreme and absurd request.

Thus, Movants' amicus brief would be unhelpful and undesirable from the Commission's perspective, and would only serve to greatly broaden the scope of issues to be reviewed and determined by the Commission, far exceeding what has previously been contemplated by the parties in this proceeding.

IV. CONCLUSION

For the reasons set forth above, Respondent respectfully requests that this Commission deny Movants' Motion for Leave to File a Brief Amicus Curiae and grant such further relief as may be just and proper.

Dated: March 17, 2025

Respectfully Submitted,

By: /s/ **Peter F. Black**

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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